

Invoice Three-Way Matching Exception Resolution

Accounts Payable • Finance Operations

Version 1.0

1. Purpose

This SOP defines the process for resolving three-way matching exceptions in SAP S/4HANA. Three-way matching validates that the purchase order, goods receipt, and supplier invoice agree on quantity, price, and terms before payment is released.

2. Exception Types

#	Exception Type	Description	Key Detail
1	Quantity Variance	Invoice qty differs from GR qty	Tolerance: ±5% or ±10 units (whichever greater)
2	Price Variance	Invoice price differs from PO price	Tolerance: ±2% or ±\$0.50 (whichever greater)
3	Missing Goods Receipt	Invoice received, no GR posted	Escalate to warehouse after 5 business days
4	PO Not Found	Invoice references non-existent or closed PO	Verify PO # with vendor; check leading zeros
5	Duplicate Invoice	Invoice # already exists for this vendor	Verify with vendor if true duplicate or resubmission

3. Step 1 — Gather Data

Retrieve from SAP:

- Invoice header: vendor, amount, currency, invoice date, reference
- Invoice line items: PO reference, quantity, unit price, GL account
- PO header & line items: ordered quantity, net price, delivery terms
- Goods receipt documents: received quantity, posting date, movement type
- Prior invoices for same PO line (duplicate/partial detection)

4. Step 2 — Identify Exception Type

Compare invoice vs. PO vs. goods receipt:

- Quantity variance = $|\text{invoice_qty} - \text{GR_qty}| / \text{GR_qty}$

- Price variance = $|\text{invoice_price} - \text{PO_price}| / \text{PO_price}$
- Check goods receipt existence
- Check for duplicate invoice numbers

5. Step 3 — Resolution Logic

Quantity Variance

If within tolerance → auto-accept and post invoice.

If above tolerance and invoice qty < GR qty → auto-accept (under-delivery).

If above tolerance and invoice qty > GR qty → escalate to buyer. Send approval request to Procurement with PO#, invoice#, qty difference, and \$ impact. Stop processing until approved or denied.

Price Variance

If within tolerance → auto-accept and post invoice.

If above tolerance → escalate to procurement:

- If a contract/blanket agreement is referenced → email Procurement asking which terms apply
- Otherwise → send approval request with PO#, invoice#, price difference, contract ref

If approved or PO amended → proceed. If denied → mark for manual review.

Missing Goods Receipt

- Check delivery tracking / ASN data
- If goods in transit → hold invoice, set 3-day reminder
- If ≤5 business days → email Warehouse for confirmed quantities
- If >5 business days with no receipt → escalate to Procurement

PO Not Found

- Verify PO # format (leading zeros, company code)
- If PO found after correction → reprocess
- If PO truly missing → email Procurement for correct PO # or new PO

Duplicate Invoice

- Compare amounts, dates, line items with original
- If exact duplicate → reject, notify vendor
- If different amounts → may be partial/corrective, escalate to AP

6. Step 4 — Execute Resolution

1. Park invoice first, then post after approval
2. Release blocked invoices after approval via Release function
3. Post parked invoices via Post function

4. After each SAP write, poll until SUCCESS or FAILED
5. If FAILED → update to error, notify AP team, STOP
6. Send confirmation with document numbers only after SUCCESS

7. Step 5 — Close Case

- Verify all line items resolved
- Update case status to "complete"
- Send summary notification to relevant stakeholders

8. Tolerance Configuration

Measure	Percentage	Absolute	Rule
Quantity	±5%	±10 units	Whichever is greater
Price	±2%	±\$0.50	Whichever is greater
Amount	N/A	±\$100	Per line item

9. Contacts

Role	Contact
AP Team	{{CONTACT_AP_TEAM}}
Procurement	{{CONTACT_PROCUREMENT}}
Warehouse / Receiving	{{CONTACT_WAREHOUSE}}
Finance Approvals	{{CONTACT_FINANCE_APPROVALS}}